cannot control how their funds are spent, they may simply refuse to increase funding to the IMF in the future."[29]

The formula review process, along with national research, reveals the costs and benefits to members of different methodologies that they then can use in advocating their respective positions. The current quota formula, which replaced the previous five formulas in 2008, specifies four variables for determining quota shares: (0.50 * GDP + 0.30 * Openness + 0.15 * Variability + 0.05 * Reserves)^K (GDP is blended using 60 percent market and 40 percent PPP exchange rates; K is a compression factor of 0.95).[30] In order to advantage incumbent powers against shifting economic capabilities, the IMF also has an obscure clause in the rules that protects losers from falling below a 30 percent floor in reallocations of quota shares.

But Russia's argument on the quota found greater favor in the BRICS, as it challenges the existing quota formula by reducing the weight given to the level of openness of the economy (currently 30 percent), which favors European countries, arguably unreasonably, while increasing the weight of the country's proportion of the world economy (currently 50 percent of the total formula) and of official national reserves (5 percent of the total formula). BRICS also realized that they would benefit from inverting or equalizing the current ratio of 60 (market rate) to 40 (PPP) in the determination of GDP, given the price differentials in developing economies. PPP measurements increase the weight of developing countries, as their GDP is much higher than when measured at market rates.[31]Figures 3.5 and 3.6, which break down the BRICS' IMF quota shares in these two measurements, also show that South Africa is significantly overrepresented in market rates and somewhat overrepresented in PPP, while the other BRICs have been mostly underrepresented except for Russia, whose position has fluctuated with its changing economic fortunes.